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Sieyuan Electric | Asia Pacific

2Q26: Ongoing GPM improvement and good cost control

AlphaSignals Earnings Reaction

Unchanged Impact to our thesis	In-line Financial results versus consensus	Largely unchanged Direction of next 12-month consensus EPS
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Source: Company data, Morgan Stanley Research

Key Takeaways

- Company achieved 31.6% GPM in 2Q26, vs. 29.0% in 1Q26 and 28.0% in 4Q25, while down 1.0ppts yoy.
- Opex (S&A and R&D expenses) ratio was 11.2% in 2Q26, down 1.9% yoy and 3.7% QoQ.
- New order growth remains robust at >30% yoy in 1H26, among which domestic was 25-30% and overseas was >50%.
- We expect Sieyuan's GPM in 3Q26 will continue to improve underpinned by revenue recognition of 750kV GIS in China and higher margin overseas orders than 1H26.
- We expect Sieyuan's overseas revenue and earnings growth to pick up in 2H26, benefiting from improving country and product mix.

Sieyuan reported 1H26 net profit of Rmb1,464mn, up 13.2% yoy and revenue of Rmb10.8bn, up 27.0% yoy, broadly in-line with the preliminary result. Stripping out the impact of FX losses (Rmb85mn loss in 1H26 vs. Rmb40mn gain in 1H25), we estimate earnings growth will be 22.0% yoy. Opex ratio was down 1.3% yoy to 12.7%. GPM was 30.5% down 1.3ppts yoy, due to revenue mix from lower margin segments up to 28% vs. 23% in 1H25.

- Switchgear related products:** Revenue was Rmb4.3bn up 22.5% yoy, and GPM was 39.1% up 3.7ppts yoy, benefiting from moving higher end markets. 750kV GIS won't be booked revenue until 3Q26.
- Transformer related products:** Revenue was Rmb2.3bn up 12.5% yoy, and GPM was 36.4% up 0.9ppts yoy. Some products have delivered to North America, but revenue will be booked in 3Q26.
- ESS and other components:** Revenue was Rmb1.4bn vs. Rmb0.4bn in 1H25, while GPM was 10.5% up 4.2ppts yoy.
- EPC segment:** Revenue was Rmb1.1bn, up 38.4% yoy, and GPM was 10.9%, down 1.8ppts yoy. We expect revenue mix from the segment to decline from 2H26 onward.
- Overseas** revenue was Rmb3.2bn, up 11.2% yoy, and mix was 29% vs. 34% in

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Asia Summer School 2026

Sieyuan Electric Co.Ltd. (002028.SZ, 002028 CS)

Top Pick

China Utilities | China

Stock Rating	Overweight
Industry View	Attractive
Price target	Rmb237.00
Up/downside to price target (%)	42
Shr price, close (Aug 14, 2026)	Rmb166.50
52-Week Range	Rmb239.12-82.43
Sh out, dil, curr (mn)	782
Mkt cap, curr (mn)	Rmb130,212.7
EV, curr (mn)	Rmb124,174.9
Avg daily trading value (mn)	Rmb1,741

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (Rmb)**	4.03	5.27	7.41	9.78
EPS (Rmb)\$	3.97	5.31	7.23	9.43
Revenue, net (Rmb mn)	21,539.0	29,242.9	39,656.3	51,662.0
EBITDA (Rmb mn)	3,966.7	5,441.2	7,599.1	10,183.4
ModelWare net inc (Rmb mn)	3,150.1	4,124.7	5,793.9	7,647.9
P/E	38.4	31.6	22.5	17.0
P/BV	7.8	6.8	5.4	4.2
RNOA (%)	40.0	44.5	48.7	52.1
ROE (%)	25.4	26.6	30.4	31.7
EV/EBITDA	29.0	22.6	16.0	11.6
Div yld (%)	0.4	0.4	0.6	0.8
FCF yld ratio (%)**	1.1	1.0	1.9	3.1
Leverage (EOP) (%)	(37.6)	(36.4)	(38.8)	(43.1)

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

\$ = Consensus data is provided by Refinitiv Estimates

** = Based on consensus methodology

e = Morgan Stanley Research estimates

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1H25. GPM was 33.4% down 2.3ppts yoy, due to product mix and slightly higher transportation cost.

On quarterly basis, net profit was Rmb914mn, up 8.0% yoy, and revenue was Rmb6.2bn, up 18.1% yoy. Stripping off one-off items (incl. FX losses and fair value changes), we estimates net profit growth was 17% yoy, broadly in-line with revenue growth. The worse-than-expected revenue growth was mainly due to revenue recognition progress.

Valuation Methodology and Risks

Sieyuan Electric Co.Ltd. (002028.SZ)

We use discounted cash flow analysis to capture long-term cash flows for 2027-37. Key assumptions:

- WACC of 7.5%, which reflects a CoE of 9.5% (beta of 1.2, risk-free rate of 2.1%, risk premium of 4.5%, a China premium of 2.0%), an after-tax CoD of 6.0% and a target debt-to-capital ratio of 40%.
- 1% terminal growth.

Risks to Upside

- Better-than-expected overseas order intake (especially the US and Middle East)
- Better-than-expected market share gains in State Grid's tenders
- Better-than-expected penetration in higher-end product (e.g., >330kV GIS) tenders from State Grid

Risks to Downside

- Weaker-than-expected overseas new orders
- Weaker-than-expected domestic order intake
- Weaker-than-expected market share gains in State Grid's public tenders

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(as of July 31, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1529	42%	442	47%	29%	750	43%
Equal-weight/Hold	1582	43%	396	42%	25%	773	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	560	15%	97	10%	17%	217	12%
Total	3,674		936			1741	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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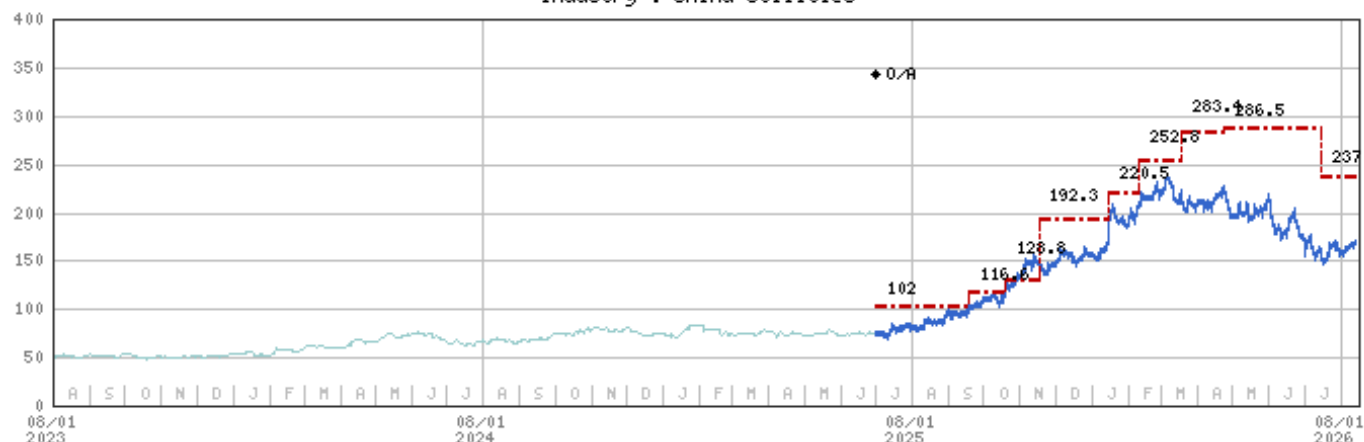
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Stock Price, Price Target and Rating History (See Rating Definitions)

Sieyuan Electric Co.Ltd. (002028.SZ) - As of 08/16/26 GMT in CNY
Industry : China Utilities



Stock Rating History: 7/1/25 : 0/A

Price Target History: 7/1/25 : 102; 9/19/25 : 116.6; 10/19/25 : 128.8; 11/17/25 : 192.3; 1/16/26 : 220.5; 2/10/26 : 252.8; 3/18/26 : 283.4; 4/23/26 : 286.5; 7/16/26 : 237

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)
 Stock Price (Not Covered by Current Analyst) --- Stock Price (Covered by Current Analyst) ---
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 Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
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INDUSTRY COVERAGE: China Utilities

COMPANY (TICKER)	RATING (AS OF)	PRICE* (08/14/2026)
Eva Hou		
CGN Power Co., Ltd (1816.HK)	E (03/21/2026)	HK\$2.80
CGN Power Co., Ltd (003816.SZ)	U (03/29/2021)	Rmb3.85
China Longyuan Power Group (0916.HK)	E (01/20/2026)	HK\$5.49
China Longyuan Power Group (001289.SZ)	E (08/06/2024)	Rmb15.61
China Resources Power (0836.HK)	E (03/21/2026)	HK\$18.09
China Yangtze Power Co. (600900.SS)	O (11/14/2023)	Rmb28.10
Dajin Heavy Industry (002487.SZ)	O (04/18/2026)	Rmb41.85
Goldwind (002202.SZ)	U (01/20/2026)	Rmb20.93
Goldwind (2208.HK)	E (08/17/2022)	HK\$10.58
Hangzhou First Applied Material Co. Ltd (603806.SS)	O (01/18/2023)	Rmb15.24
Henan Pinggao Electric (600312.SS)	O (01/18/2024)	Rmb19.53
Huaneng Power International Inc. (0902.HK)	E (06/30/2022)	HK\$5.75
Huaneng Power International Inc. (600011.SS)	U (04/07/2021)	Rmb6.84
JA Solar Technology Co Ltd (002459.SZ)	E (09/02/2025)	Rmb7.56
Jiangsu Zhongtian Technology Co. Ltd. (600522.SS)	O (10/12/2020)	Rmb35.55
LONGi Green Energy Technology Co Ltd (601012.SS)	U (09/02/2025)	Rmb12.65
NARI Technology (600406.SS)	O (11/01/2015)	Rmb23.23
Ningbo Orient Wires & Cables Co Ltd (603606.SS)	O (08/17/2022)	Rmb38.00
Riyue Heavy Industry Co., Ltd. (603218.SS)	O (02/11/2025)	Rmb9.83
Shanghai Electric (2727.HK)	U (03/26/2021)	HK\$3.13
Shanghai Electric (601727.SS)	U (03/26/2021)	Rmb6.71
Sieyuan Electric Co.Ltd. (002028.SZ)	O (07/01/2025)	Rmb166.50
Sinoma Science & Technology Co. Ltd. (002080.SZ)	O (09/23/2025)	Rmb59.93
Sungrow Power Supply Co. Ltd (300274.SZ)	O (06/09/2026)	Rmb116.72
Tongwei Co. Ltd. (600438.SS)	E (09/02/2025)	Rmb12.80
XJ Electric (000400.SZ)	E (03/21/2026)	Rmb22.03
Hannah Yang, CFA		
Xinyi Solar Holdings Ltd (0968.HK)	O (07/30/2020)	HK\$2.27

Tom Li		
Anhui Yingliu Electromechanical Co Ltd (603308.SS)	O (04/08/2026)	Rmb48.98
China Gas Holdings (0384.HK)	E (07/10/2026)	HK\$5.58
China Resources Gas (1193.HK)	E (07/10/2026)	HK\$15.64
Huaming Power Equipment (002270.SZ)	O (04/08/2026)	Rmb20.11
Ningbo Sanxing Medical Electric Co. Ltd. (601567.SS)	O (04/08/2026)	Rmb15.28

Stock Ratings are subject to change. Please see latest research for each company.
* Historical prices are not split adjusted.